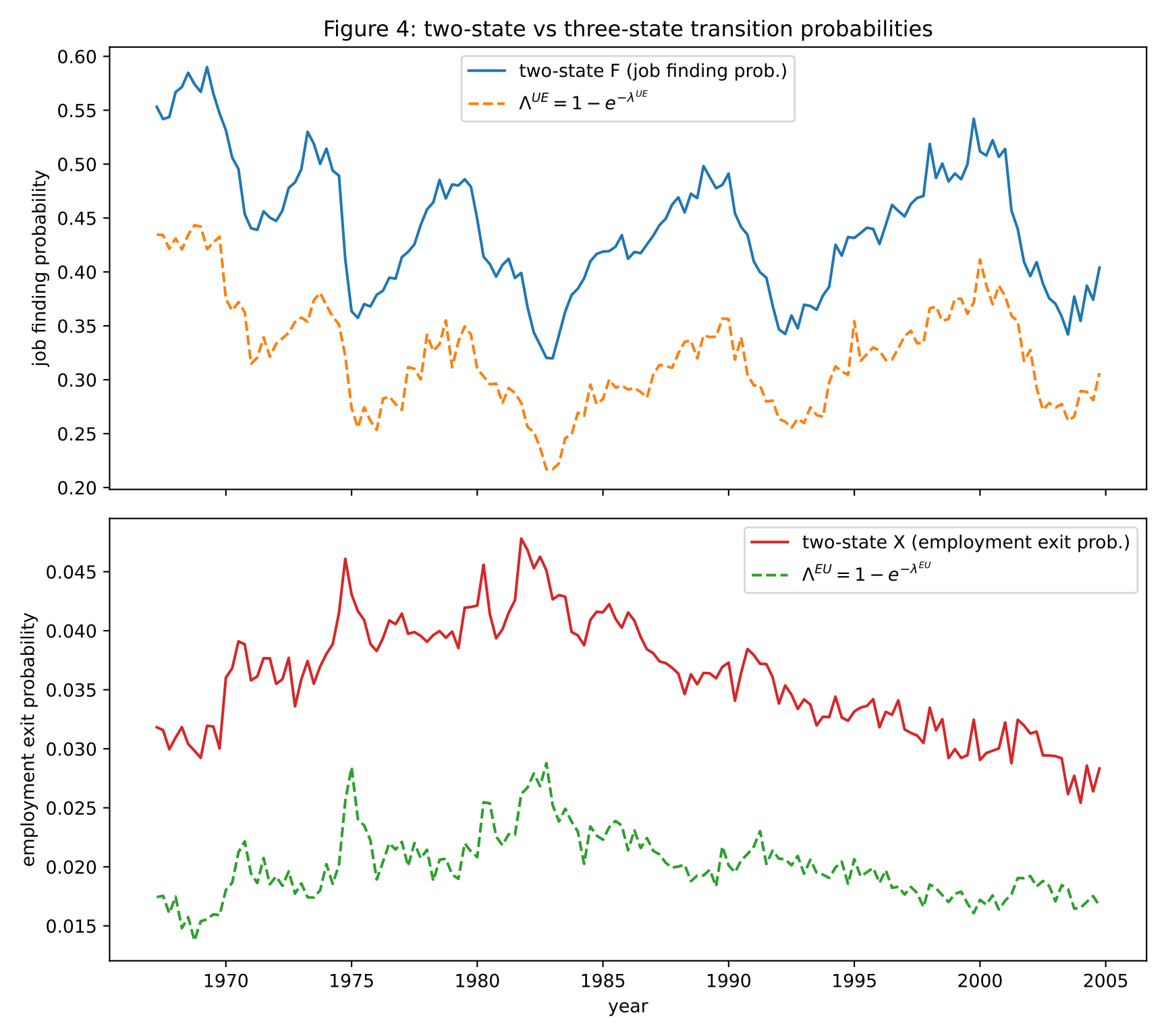
Figure 4: two-state vs three-state transition probabilities
two-state F (job finding prob.)
$\Lambda^{UE} = 1 - e^{-\lambda^{UE}}$
job finding probability
0.60
0.55
0.50
0.45
0.40
0.35
0.30
0.25
0.20
two-state X (employment exit prob.)
$\Lambda^{EU} = 1 - e^{-\lambda^{EU}}$
employment exit probability
0.045
0.040
0.035
0.030
0.025
0.020
0.015
1970
1975
1980
1985
1990
1995
2000
2005
year